



Cash Flow from Financing Activities

In this section, we will analyze cash flow from financing, including debt, equity, dividends, interest payments, etc. We will understand how the company is financing its business operations and what returns it is generating for its investors.



Dividend Payout Ratio

Let us first look at the Dividend Payout Ratio for the company. As seen, the Dividend Payout Ratio is 50.12% for FY 2016, 3.68% for FY 2017, 30.47% for FY 2018, 39.21% for FY 2019, 74.06% for FY 2020 and 0.06% for FY 2021. We see that the company is able to distribute a decent amount of its profits as dividends. This is only because the company has low re-investment requirement out of its profits.

Capex/ PAT	0.21	0.14	0.18	0.27	0.40	0.31
CFF Ratios						
Dividend Payout Ratio	50.12%	3.68%	30.47%	39.21%	74.06%	0.06%

It can be said that the company has been paying healthy dividends for many years now.

Next, we are going to evaluate the behavior of each kind of financing and how the management manages it. For this, let us have a look at the cash flow from financing activities in our excel sheet.

CFF						
Debt Issued/ Redeemed	12	6	0	-9	33	17
Equity Raised/ bought back	0	0	-504	0	0	0
Dividends paid(inclusive of taxes)	-403	-32	-293	-363	-825	-1
Interest Paid	-13	-14	-16	-17	-25	-29
Sharecapital issued to Minority	34	81	24	29	3	-29
Lease Liabilities	0	0	0	0	-34	-34
CFF	-371	41	-790	-361	-849	-76

Here, we can see that in recent years the company has not taken or repaid any major short-term or long-term borrowings. Thus, the company has not engaged in a major debt related activity. In absolute terms, the interest payments by the company are very low which as we know from our prior knowledge means that the overall debt of the company is very low.

Moreover, it can be seen that the company has not been issuing any major shares, and there is no issue of share capital. The company had a major buyback of 500 Cr in FY 2018. Other than that, it has mainly been paying dividends. So we can see that the company neither needs any debt nor any new equity. The company distributes healthy dividends and did a buyback in FY2018. We can evaluate the behavior of financing items for different companies in similar manner.